

MALTA 2012

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Introduction

The “Country Chapters” are made available as part of the OECD’s Benefits and Wages publication series. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summaries of policy changes and trends.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

1. Overview of the tax-benefit system

The national social security system is divided into two categories – the contributory and the non-contributory. The former is made up of a number of benefits which are given to individuals who pay social security contributions whereas the latter is based on a means test basis. When a person becomes unemployed and starts to register for work with the national employment agency (Employment and

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Training Corporation), the first matter which is checked is to what extent is this person eligible to a contributory or a non-contributory benefit.

1.1. Average Worker wage (AW)¹

NOTE: All monetary values indicated in this document are in Euros since Malta adopted this currency as from 1st January 2008. Data for previous years was provided in Lm which was the active currency during that period.

The provisional 2012 AW is 20,451 Euros. This includes the Government Statutory Bonus and Income Supplement:

Government Statutory Bonus

This bonus is payable in two equal instalments (one in June and one in December). Periods of no pay will be reflected proportionately in the payment of this bonus. The amount paid every six months is of 135.10 Euros, hence the monthly contribution is 22.52 Euros.

Income Supplement

This bonus is calculated as a weekly allowance at a rate of 4.66 Euros for every week or proportionately for any part of a week during which an employee is in employment. Payment is effected in March and September. The monthly payment amounts to 20.04 Euros.

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2008-2009, OECD, 2005, part IV, sections 2 and 3.

2. Unemployment insurance

2.1 *Conditions for receipt*

A number of criteria must be fulfilled in order for a person to be able to receive the unemployment benefit (a contributory short-term benefit). These criteria are outlined below:

- a) the person must be registering for work with the ETC – this implies regular registration at the district office
- b) the person must be over 16 but under 61 years old.

If the criteria for social assistance are satisfied the Unemployment Benefit is increased and converted to, a Special Unemployment Benefit (SUB). Should the SUB not be sufficient for the unemployed person, this is complemented by additional social assistance. The criteria which are considered for eligibility to SUB are related to whether the beneficiary is the head of household and the access to capital:

In case of a single person capital is not to exceed 14,000.00 Euros per annum. In case of a married person 23,300 Euros per annum

The income should not exceed the lowest rate of assistance payable for Special Unemployment Benefit

The request for Special Unemployment Benefit should be raised by the unemployed person at the district office and this application is then forwarded to the head office of the Social Security Department for subsequent assessment.

2.1.1 *Employment conditions*

Eligibility is based on the social security contributions made by the individual as 2.1.2 outlines. A person may be deprived of the Unemployment Benefit or the Special Unemployment Benefit, should s/he fail to:

- a) attend interviews for potential jobs indicated by ETC and/or decline any offer for employment
- b) attend any training which the ETC deems suitable for increasing the unemployed person chances of finding a job
- c) is found working whilst registering for work

2.1.2 *Contribution conditions*

In order to be eligible for the contributory Unemployment Benefit or the Special Unemployment Benefit, a person must have at least 50 weekly social security contributions of which 20 should have been contributed in the benefit year. The UB or SUB is given for a maximum of 156 days to employees only and depends on the number of contributions made. Self-employed persons who become unemployed are not entitled to UB or SUB but may qualify for Unemployment Assistance if they satisfy the means test criteria.

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2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

Persons receiving Unemployment Benefit are paid 7.37 Euros per day (if single head of household²) (198.99 Euros per month) and 11.26 Euros per day (if married head of household, maintaining a spouse who is unemployed or a single parent) (304.02 Euros per month). Persons receiving the Special Unemployment Benefit are paid 12.35 Euros per day (if single if single head of household) (333.45 Euros for 1 month) and 18.92 Euros per day (if married head of household, maintaining a spouse who is unemployed or a single parent) (510.84 Euros for 1 month). Payment is based on each day of unemployment, excluding Sundays.

If the beneficiary's or his/ her family's gross income is above the maximum income which can be received from SUB, the benefit is not paid. Income calculations are based on the items identified in 2.2.2 below.

2.2.2 Income and earnings disregards

A person's private residence and garage, summer residence, personal car and jewellery are not considered to be part of the income calculations that are made for eligibility to SUB.

Access to the following assets is included in the calculations:

- a) money deposited in banks or lent to individuals
- b) half the money deposited in banks on children's name (children who are living in the household and not working)
- c) income from shares
- d) value of life insurance policy
- e) other vacant property owned by the individual
- f) land which can be developed
- g) additional cars owned by the individual

Access to the following income sources is included in the calculation:

- a) interests
- b) income from rented property
- c) income from the sale of property or other goods
- d) a ratio of 0.178 on any benefit or pension paid in respect of children who are inactive (usually this is a retirement pension or invalidity pension)
- e) interests from bank accounts on children residing in the household and below 16 years
- f) the alimony received by the head of household and 0.171 of the maintenance paid for children
- g) total income from wife's or partner's gainful occupation

Income disregards are outlined below:

- a) personal residence
- b) garage which is for personal use
- c) summer residence

² A head of household is defined as a person who in the opinion of the Director of Social Security is the head of a household consisting of 2 or more persons. A household is defined as one or 2 or more persons who in the opinion of the Director of Social Security are living together as a family.

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- d) private car
- e) personal jewellery and belongings

2.3 *Tax treatment of benefit and interaction with other benefits*

Income from unemployment benefit should be declared for tax purposes. Tax rates are applied if the global income received during the reference year exceeds 8500 Euros (for single tax computation) or 11900 Euros (for married tax computation).

2.4 *Benefit duration*

The Unemployment Benefit or Special Unemployment Benefit is given for a maximum of 156 days to employees only and depends on the number of contributions made. On exhaustion of special unemployment benefit, a client becomes normally entitled to unemployment assistance on re-assessment.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

2.5.2 *Older workers*

2.5.3 *Others if applicable*

3. Unemployment assistance

3.1 Conditions for receipt

Unemployment assistance is given to those persons who are unemployed and who have their application reassessed following 6 months from the receipt of Unemployment Benefit or Special Unemployment Benefit. In order to qualify for the receipt of such benefit, the applicant must satisfy a means test. Other eligible persons are applicants (employees) who have not enough social security contributions to qualify for UB or SUB as well self-employed persons who become unemployed.

In case of beneficiaries who are part of a family where one member is employed, UA is only given if the employed household member is engaged on a part time basis. In this regard, the employed person must provide the Social Security Department with a declaration from his/her employer whereby the type of employment contract is declared (ie whether working full time or part time).

In cases where a household member where the beneficiary lives works on a full time basis no Unemployment assistance is given. In cases where a household member in which a beneficiary lives works on a part time basis, UA is provided for one beneficiary only, since there are no dependants (this assumes a case of a couple where one spouse works and the other spouse is unemployed). In cases where there are dependents (ex couple with two children where a spouse is employed and another spouse is unemployed), UA is calculated on three persons (1 beneficiary and 2 dependents).

3.1.1 Employment conditions

Unemployment assistance is given to employees when the 156 days of unemployment benefit or special unemployment benefit have elapsed. Another way of getting unemployment assistance is when an employee who has become unemployed has not enough social security contributions to qualify for UB or SUB. Unemployment assistance can also be availed of by the self-employed.

3.1.2 Contribution conditions

In order to qualify for unemployment assistance, the beneficiary must be registering for employment with the public employment agency.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

The calculation of unemployment assistance is based on the number of persons who are living in the household and who are directly dependant on the beneficiary:

1 person (ie beneficiary only) – 95.43 Euros per week / 413.53 Euros per month

2 persons (ie beneficiary and 1 dependant) – 103.58 Euros per week / 448.85 Euros per month

3 persons (ie beneficiary and 2 dependants) – 111.73 Euros per week / 484.16 Euros per month

4 persons (ie beneficiary and 3 dependants) – 119.88 Euros per week / 519.48 Euros per month

5 persons (ie beneficiary and 4 dependants) – 128.03 Euros per week / 554.80 Euros per month

For each additional dependant – 8.15 Euros per week / 35.32 Euros per month

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3.2.1.1 *Irregular additional payments*

Not applicable

3.2.1.2 *Obligations of family members*

Not applicable

3.2.2 *Income and earnings disregards*

The income and earnings disregards for unemployment assistance are identical to those of unemployment benefit (refer to paragraph 2.2.2 above).

The capital tests are as follows:

- a) in case of married person capital shall not exceed 23,300 Euro
- b) in case of single or separated person capital shall not exceed 14,000 Euro.

The income test is calculated on the income earned as well as on maintenance, interests and rents receivable. The income shall not exceed the Unemployment Assistance rate due to claimant and the income receivable shall be deducted from the rate due (eg. if a person receives 20Euro as rent from third party this amount is deducted from the rate due).

If one of the spouses is employed, the other spouse is registering for work under Part 1 and the income (as mentioned in income test) does not exceed the Unemployment Assistance rate due (rate is paid in accordance with the number of persons in household), the difference in Unemployment Assistance is paid.

However if the income exceeds the Unemployment Assistance due rate, no assistance is payable from the Department.

The maximum Unemployment Assistance rate in 2009 for a household consisting of 4 persons (Husband, Wife and two children who are not employed) was 116.00 Euro per week.

Therefore for example if a spouse is registering for work under Part 1, the other spouse is working and the weekly income (income derived from employment, interests and rents receivable) is less than 116.00 Euro, the head of household is paid the difference from the income received to the rate due.

3.3 ***Tax treatment of benefit and interaction with other benefits***

Unemployment Assistance is non taxable.

3.4 ***Benefit duration***

Unemployment Assistance is given for an indeterminate period or until the head of household stops registering for work with the public employment office or when capital and income means test is exceeded through changes in the family's financial situation.

3.5 ***Treatment of particular groups***

Additional Bonus

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This is a non-means tested benefit given to all persons receiving Unemployment Assistance. The amount is that of 3.12 Euros per week (13.42 Euros per month). This payment is constant irrespective of the number of dependants that may be living with the beneficiary.

Half yearly bonus

This is a non-means tested benefit given to all persons receiving Unemployment Assistance. The amount is that of 135.10 Euros two times a year (22.52 Euros per month). This payment is constant irrespective of the number of dependants that may be living with the beneficiary.

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable*

4. Social assistance

Entitlement to social assistance depends on whether the applicant satisfies a means test. No account is taken of social security contributions since this benefit is not considered to be a contributory benefit.

In case of beneficiaries who are part of a family where one member is employed, Social assistance is only given if the employed household member is engaged on a part time basis. In this regard, the employed person must provide the Social Security Department with a declaration from his/her employer whereby the type of employment contract is declared (ie whether working full time or part time).

In cases where a household member where the beneficiary lives works on a full time basis no Unemployment assistance is given. In cases where a household member in which a beneficiary lives works on a part time basis, SA is provided for one beneficiary only, since there are no dependants (this assumes a case of a couple where one spouse works and the other spouse is unemployed). In cases where there are dependents (ex couple with two children where a spouse is employed and another spouse is unemployed), SA is calculated on three persons (1 beneficiary and 2 dependents).

4.1 Conditions for receipt

Social assistance is given to those persons who are eligible after a means test is carried out. In order to qualify for social assistance, a person must carry out a means test of capital and income means.

A person's income, property and privilege is taken into account for assessing eligibility to social assistance. In addition account is taken of any social assistance and/ or pension which the applicant or wife/ husband might be receiving at the time when such assistance is requested.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The calculation of Social Assistance is identical to that of Unemployment Assistance and is based on the number of persons who are living in the household and who are directly dependant on the beneficiary:

1 person (ie beneficiary only) – 95.43 Euros per week / 413.53 Euros per month

2 persons (ie beneficiary and 1 dependant) – 103.58 Euros per week / 448.85 Euros per month

3 persons (ie beneficiary and 2 dependants) – 111.73 Euros per week / 484.16 Euros per month

4 persons (ie beneficiary and 3 dependants) – 119.88 Euros per week / 519.48 Euros per month

5 persons (ie beneficiary and 4 dependants) – 128.03 Euros per week / 554.80 Euros per month

For each additional dependant – 8.15 Euros per week / 35.32 Euros per month

4.2.2 Income and earnings disregards

The income and earnings disregards for social assistance are identical to those of unemployment benefit (refer to paragraph 2.2.2 above).

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The capital tests are as follows:

- a) in case of married person capital shall not exceed 23,300 Euro
- b) in case of single or separated person capital shall not exceed 14,000 Euro.

The income test is calculated on the income earned as well as on maintenance, interests and rents receivable. The income shall not exceed the Social Assistance rate due to claimant and the income receivable shall be deducted from the rate due (eg. if a person receives 20Euro as rent from third party this amount is deducted from the rate due).

If one of the spouses is employed, the other spouse is registering for work under Part 1 and the income (as mentioned in income test) does not exceed the Social Assistance rate due (rate is paid in accordance with the number of persons in household), the difference in Social Assistance is paid.

However if the income exceeds the Social Assistance due rate, no assistance is payable from the Department.

The maximum Social Assistance rate in 2009 for a household consisting of 4 persons (Husband, Wife and two children who are not employed) was 116.00Euro per week.

Therefore for example if a spouse is inactive and the other spouse is working and the weekly income (income derived from employment, interests and rents receivable) is less than 116.00 Euro, the head of household is paid the difference from the income received to the rate due.

4.3 Tax treatment of benefit and interaction with other benefits

Tax rates are applied if the annual amount of Social Assistance exceeds 8,500 Euros (for single tax computation) or 11,900 Euros (for married tax computation).

4.4 Benefit duration

Social Assistance is given for an indeterminate period or until the head of household stops registering for work with the public employment office or when capital/income means test is exceeded through changes in the family's financial situation.

4.5 Treatment of particular group

Additional Bonus

This is a non-means tested benefit given to all persons receiving Social Assistance. The amount is that of 3.12 Euros per week (13.42 Euros per month). . This payment is constant irrespective of the number of dependants that may be living with the beneficiary.

Half yearly bonus

This is a non-means tested benefit given to all persons receiving Social Assistance. The amount is that of 135.10 Euros two times a year (22.52 Euros per month). This payment is constant irrespective of the number of dependants that may be living with the beneficiary.

Supplementary allowance

This is an allowance for which the beneficiary has to apply once every year.

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Supplementary allowance is given to single persons whose income does not exceed 8,405 Euros, excluding Social Security contributions paid. When the income is less than 5,648 Euros, the assessment is based on 4.57 Euros per week. When the income is higher than 5,648 Euros, the assessment is based on 1.7 % of the difference between 19,870 Euros and total income declared. The maximum supplementary allowance payment for the latter case is 237.61 Euros yearly.

Married persons whose income does not exceed 10,573 Euros, excluding Social Security contributions are also entitled to this allowance. When the income is less than 5,648 Euros, the assessment is based on 8.13 Euros per week. When the income is higher than 5,648 Euros, the assessment is based on 2.268% of the difference between 24,530 Euros and total income declared. The maximum supplementary allowance payment for the latter case is 422.65 Euros yearly.

As a general rule persons who receive children's allowance do not qualify for the supplementary allowance.

4.5.1 *Young persons*

4.5.2 *Older workers*

4.5.3 *Others if applicable*

Benefit: Social Assistance for Females taking care of a sick or elderly relative

A single or widowed female, whether registered or not as an unemployed person, and who is taking care of a sick or elderly relative all by herself and on a fulltime basis, may become eligible to Social Assistance for Females. A condition of eligibility to such benefit is based on the fact that there is no other female member in the household who is unemployed.

In order to qualify for the receipt of such benefit, the applicant must fill the relevant application and return it to the Social Security District Office. The sick or elderly relative who will be taken care of by the female is examined by a Medical Panel who provides feedback to the Director of Social Security on the genuity of the case. In order to qualify as a sick or elderly relative the person must be a parent, grandparent, brother/ sister, uncle/ aunt, brother/sister-in-law or father/mother-in-law of the applicant.

The weekly rate is of 71.57 Euros plus an additional bonus of 3.12 Euros weekly (13.42 Euros per month) and a six monthly bonus of 135.10 Euros (22.52 Euros per month).

Benefit: Social Assistance for Drug Addicts

Such allowance may be given to any person following a drug or alcohol rehabilitation therapeutic programme. The only exception is when the applicant is sent to the therapeutic community as a result of a court sentence.

In order to qualify for the Social Assistance for Drug Addicts, the applicant must fill the relevant form and return it to the Social Security District Office. Documentary evidence showing that the claimant is following a therapeutic programme for substance abuse must be provided. All incoming claims are verified and income tests are carried out in order to establish whether the applicant is entitled to the benefit or not.

The receipt of the benefit is stopped whenever the person leaves the therapeutic programme before finishing the entire programme.

The rate is that of 23.29 Euros weekly. No bonuses are paid as part of this benefit.

5. Housing benefits

A number of schemes related to housing are available, however only the Rent Subsidy Scheme is paid regularly and in cash following the presentation of relevant documents. Other schemes related to repairs of property are not availed of on a regular basis by the same applicant since once a repair or maintenance is carried out no additional repairs are required. In this regard such schemes are being excluded.

The Department of Social Security also provides assistance to persons who are in receipt of non contributory benefits. This assistance is known as Rent Element and the amount of such benefit is Lm 0.50 (EUR 1.16) per week.

5.1 Conditions for receipt

Rent Subsidy Scheme

Housing benefit is based on the income level of the beneficiary and is paid to individuals living in rented properties provided by the private sector that are being used as ordinary houses of residences by the applicant and his/her family.

In order to qualify for Housing Benefits, the applicant must satisfy the following criteria:

- a) Be a Maltese citizen or an EU citizen
- b) Applicant and his wife/her husband have lived continually in Malta for at least 18 months preceding the date of application
- c) Must be married, single, widow/er, separated or single parent or a single person between 18-21 years leaving institutional care
- d) The applicant must have entered into an agreement with the landlord
- e) The applicant must be the recognised tenant of the property
- f) Applicant's capital assets must not exceed 9317.49 Euros (during the 12 months prior date of application) and the annual aggregate income does not exceed 16911.44 Euros.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

The Rent Subsidy Scheme is calculated as follows:

SINGLE PERSON				MAXIMUM SUBSIDY	INITIAL RENT TO BE PAID BY APPLICANT
A	€ 0.00	-	€ 8,000	€ 800	€ 186
B	€ 8,001	-	€ 9,000	€ 650	€ 300
C	€9,001	-	€ 13,000	€ 550	€350
2 ADULTS					
A	€ 0.00	-	€ 11,000	€ 950	€ 186
B	€ 11,001	-	€ 15,000	€ 850	€ 250
C	€ 15,000	-	€ 16,000	€ 750	€ 300

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3 OR MORE PERSONS (FAMILY WITH CHILDREN)					
A	€ 0.00	-	€ 14,000	€ 1,000	€ 186
B	€ 14,001	-	€ 15,000	€ 900	€ 250
C	€ 15,001	-	€ 16,000	€ 800	€ 300
D	€ 16,001	-	€ 17,000	€ 700	€ 350
E	€ 17,001	-	€ 18,000	€ 600	€ 400

Members of a family include the applicant and his/her spouse and his/her children living with the applicant, including fostered children, nephews/nieces, and stepchildren. Children must be under 18 years of age, dependent on the applicant, unmarried, and unemployed. Age is not taken into account for persons with disabilities.

The combined income excluding social contributions of the applicant and his/ her spouse and his/her children who are still living in the household and are under 18 years is included in the calculation for housing benefits. The highest income (excluding social contributions) is taken in full and half of the income (excluding social contributions) of the spouse is added to it to assess the income level of the family. Members of the household who are over 18 years are not considered for the housing benefit assistance unless they are disabled. Persons who are 18 years and over (who are not the applicant or his/ her spouse) are also not considered in terms of the number of members residing in the household.

The following example illustrates how this benefit is being calculated.

Example 1: Family with a husband and wife and two children less than 18 years, the income of the husband is higher than that of the wife - the full income (excl social contributions) of the husband and half of the income (excl social contributions) of the wife is considered for computing the housing benefit. The number of members who are considered to be residing in the house is considered to be 4 since children are less than 18 years and not working.

Example 2: Family with husband and wife and two children who are over 18 years and are employed, the income of the husband is higher than that of the wife - the full income (excl social contributions) of the husband and half of the income (excl social contributions) of the wife is considered for computing the housing benefit, the income of the children is not considered. The number of members who are considered to be residing in the house is considered to be 2 since persons who are over 18 years are excluded from the computation.

An additional € 125 per annum will be granted to families having a disabled member and an additional € 125 per annum will also be granted to families having 6 or more members and an additional €300 per annum to have fostered children living with them.

Single people who:-

- 1) lived in care; or
- 2) were for a period of time fostered; or
- 3) left Corradino Correctional Facility; or
- 4) who have successfully completed a rehabilitation/therapeutic programme;

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can benefit from the subsidy amounting to a maximum of €1,600 per annum until the age of twenty eight (28).

5.2.2 *Income and earnings disregards*

In order to qualify for this scheme of Housing Benefits, the applicant's capital assets must not exceed € 10,000 (during the 12 months prior date of application) and the applicant's annual aggregate income does not exceed the maximum amounts indicated in the table above.

5.3 ***Tax treatment of benefit and interaction with other benefits***

This benefit is non-taxable.

5.4 ***Treatment of particular groups***

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable*

6. Family benefits

Benefit: Children's Allowance

Eligibility to Children's Allowance depends on the income of the family and the number of children under 16 years of age in that family. Families with a household income exceeding €23,923 are entitled to the Fixed Children's Allowance of €350 per child per annum. In the case of families with three or less children and with a household income of €24,226 or less, the eligibility to Children's Allowance is calculated on the difference between the declared income of the family for the previous year and the established threshold of €24,226. The answer is then multiplied by 6% for each child living in the family and the result determines the amount of children's allowance which will be given.

For families with four or more children, the maximum income of the parents taken into account for the computation of children's allowance is € 30,911. In such cases if the parents earn more than € 30,911 they will be paid € 350 per annum per child under 16 years of age.

If income of parents is below € 4,718 this is considered as € 4,718.

In a number of cases Children's allowance may be extended until the child is 21 years old if conditions outlined in section 6.1 are fulfilled. The application for children's allowance must be filed within six months from the birth of the child.

The amount of social security contributions paid for the previous year are deducted from the declared income before the children's allowance amount is worked out.

6.1 Conditions for receipt

All households having a child whose age is 16 or less is entitled to this benefit. In order to continue to receive the Children's Allowance, the beneficiary must submit an annual income declaration.

On a general level, Children's Allowance is provided to those eligible households whose children are below 16 years old. In addition, households with children between 16 and 21 years and attending full-time education and receiving no remuneration might be eligible for Children's Allowance. Children within the same age bracket who are registering for work and are living in households where the total income does not exceed €24,226 are also entitled to Children's Allowance.

6.2 Calculation of benefit amount

For cases where the declared income for the previous year exceeds €24,226, the Fixed Children's Allowance of €350 per child per annum is paid. In the case of a family whose declared income for the previous year is €24,226 or less, the Children's Allowance paid is calculated on 6% for each child of the difference between the €24,226 and the declared income of the family for the previous year.

6.2.1 Calculation of gross benefit

Explained in 6.2 above.

6.2.2 Income and earnings disregards

All children are entitled to Children's allowance irrespective of the household income.

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6.3 Tax treatment of benefit and interaction with other benefits

This benefit is non-taxable.

6.4 Treatment of particular groups

6.4.1 *Young persons*

6.4.2 *Older workers*

Others if applicable

Benefit: Carer's Pension

A person is entitled to the Carer's Pension if s/he is either single or widowed or who is taking care on his/her own on a full-time basis of a sick and bedridden relative or a relative who is confined to a wheel-chair living in the same household. In order to qualify as a sick relative the person must be a parent, grandparent, brother/ sister, uncle/ aunt, brother/sister-in-law or father/mother-in-law of the applicant. In addition, the applicant's Capital Resources must not exceed 14000 Euros and s/he must satisfy a Means Test.

The weekly rate is of 98.69 Euros, together with an additional bonus of 3.12 Euros per week. A six-monthly bonus of 135.10 Euros is also paid.

Benefit: Disabled Child Allowance

The Disabled Child Allowance is given to children who are certified to be suffering from a physical and/or mental disability. This benefit is over and above the Children's Allowance which has been referred to in section 6. This allowance is paid for each child with a disability residing within the same household.

The application for such benefit must reach the Department of Social Security within six months from the birth of the child. In addition a medical report by a doctor certifying the disability of the child must be included in the application. As from 2008, this allowance is no longer means tested and the rate is of 16.31 Euros per week.

Benefit: Maternity Benefit

In order to be eligible to such benefit the claimant must be in her eighth month of pregnancy or has given birth to a child in the six month prior to the date of claim. In addition, the applicant must not be availing herself of maternity leave. The payment is of 74.54 Euros per week for a maximum of 14 weeks.

Benefit: Foster Care

This benefit is paid for fostered children who are up to 18 years and not in gainful employment or in receipt of a stipend. The payment is of 70.00 Euros per week for each child.

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7. Childcare for pre-school children

Compulsory school starts at 5 years, however the majority of children are sent to pre-primary schools at the age of 3 to 4 years despite the fact that this is not compulsory.

No data on children in childcare is available.

At a national level it is estimated that there are 50 centres which provide childcare services. There are no national standards on childcare facilities and childcare centre operators are not obliged to license themselves in order to operate. A number of standards are currently being drafted and these are being used as an administrative document. Prospective and current service-providers are being guided in line with these standards and new applications are being assessed accordingly.

7.1 *Out-of-pocket childcare fees paid by parents*

Full-time childcare

As explained above, the majority of 3 to 4 year olds attend pre-primary schools. State pre-primary schools are free of charge.

The state also runs a child care centre and this is free for those who are on social assistance and/ or live on the national minimum wage. Other persons who avail themselves of the state run child care centre who have higher incomes are means tested.

There are no official statistics on the typical or average fees paid for child care, but from information gathered informally from existing providers the average is around €2.50 per hour.

Part of the childcare fees are exempted from tax via tax credits. There is no average or standard childcare fee which is set by law since the sector is still not regularized at a national level. In addition the fact that a person pays for child care services, does not preclude eligibility to social assistance.

Part-time childcare

Since there is no established fee for childcare services, fees paid for part-time childcare are determined by providers. There are cases where the fee per hour decreases according to the amount of hours that a child is present at the childcare centre. Hence the more hours of childcare that are availed of the more likely it is that a person pays a less rate per hour than another person who uses childcare for a shorter amount of time.

7.2 *Child-care benefits for formal centre-based care*

During 2008, Government introduced a deduction from income tax for children attending private kindergartens. The maximum deduction is €1,300 per year.

7.2.1 Conditions for receipt

A tax credit is given on childcare fees paid by the household. The maximum amount is €1,300.

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

Same calculation is kept

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7.2.2.2 Income and earnings disregards

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Childcare fees are not exempted from tax.

7.2.4 *Treatment of particular groups*

7.3 Child care allowance for children not using child care centers

There is no child care allowance for children not using child care centers, ie if care is home-based no benefit is provided.

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8. Employment-conditional benefits

8.1 *Conditions for receipt*

Government Statutory Bonus and Income Supplement

Both bonuses are given to all employees, irrespective of whether their employment is full or part-time. Payment of both bonuses is to emanate from one source only. This means that if a person has a full-time job, as a main occupation and a part-time job as a secondary occupation, the bonuses will only be given for the main job.

Payment of the statutory bonus is effected in June and December, whereas payment for the income supplement is effected in March and September.

8.2 *Calculation of benefit amount*

8.2.1 *Calculation of gross benefit*

8.3 *Tax treatment of benefit and interaction with other benefits*

8.4 *Benefit duration*

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable*

9. Lone-parent benefits

9.1 *Conditions for receipt*

A single parent who does not earn more than the National Minimum Wage of 158.11 Euros per week is eligible for this benefit. In order to qualify for the Social Assistance for Single Parents, the applicant must fill the relevant form and return it to the Social Security District Office. Documentary evidence showing that the claimant is a single parent must be provided. All incoming claims are verified and income tests are carried out in order to establish whether the applicant is entitled to the benefit or not.

Lone parent benefits are given to those beneficiaries who are not already in receipt of other benefits such as unemployment or social assistance. In fact persons availing themselves of lone parent benefits are usually not registering for work and therefore do not fulfill the criteria for receiving unemployment assistance. Lone parents can however be receiving lone parent benefits whilst at the same time have also family benefits.

The above social assistance is reduced by 25% whenever the single unmarried parent and his/her children are residing with another family. In addition single parents may work as part-timers without losing their entitlement to Social Assistance as long as the income received does not exceed the National Minimum Wage.

9.2 *Calculation of benefit amount*

The maximum rate of Assistance is €95.43 per week for a parent with one child. This is increased by a further €8.15 per week for each additional child. A weekly additional bonus of €3.12 and a six monthly bonus of €135.10 is payable to beneficiaries of Social Assistance. If rent is paid for the house of residence, an allowance of €1.16 per week is added to the entitlement.

If the single parent lives with his/her parents the benefit is reduced to €71.57 per week for the parent and one child. This is increased by a further €6.13 per week for each additional child.

Single parents may work as part-timers without losing the right to the full Assistance, as long as their total income together with the Social Assistance entitlement for 2 persons (i.e. €95.43 per week) does not exceed the National Minimum wage of €158.11. This means that a single parent may earn up to €62.68 per week and still receive the full entitlement of Social Assistance.

9.2.1 *Calculation of gross benefit*

Explained in 9.2 above.

9.2.2 *Income and earnings disregards*

The income and earnings disregards for lone parent benefits are identical to those of unemployment benefit (refer to paragraph 2.2.2 above).

9.3 *Tax treatment of benefit and interaction with other benefits*

This benefit is non-taxable.

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9.4 *Benefit duration*

The duration of such benefit is indefinite until the capital/income means test is exceeded through changes in the family's financial situation.

9.5 *Treatment of particular group*

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable*

10. Tax system

All persons having income arising in Malta together with those persons who are ordinarily resident and domiciled in Malta are liable to pay tax as per tax rates indicated below. The following income from employment are included in the tax computation: salary and wages, bonuses, overtime payments, director's fees, annual value of any free board or lodgings and other payments and allowances including commissions. In addition all types of income arising from other sources are to be included in the tax computation.

10.1 Income tax

10.1.1 Tax allowances and credits

Tax rebates are given if a person fulfils any of the conditions below:

Children attending independent schools

Parents or legal guardians of children who are paying a fee for having their children attend a private school, are eligible to a deduction equal to:

- the lower of 1300 Euro or the amount paid during the year for each child attending a private pre primary
- the lower of 1600 Euro or the amount paid during the year for each child attending a private primary school
- the lower of 2300 Euros or the amount of school fees paid during the year for every child attending a private secondary school

Documentary evidence stating that a child is attending a private school must be presented in order to be eligible for such a rebate.

Alimony payments

Rebates on alimony payments are given if such payment is established by a Maltese court or as agreed by a public deed of personal separation under the authority of the Courts of Malta. If such evidence is presented, the amount of alimony payment is deducted from the husband's/ wife's income and included with the estranged wife/ husband income.

Child care fees

Parents who pay child care fees have a rebate of 1300 Euro for each child or the fee paid if it is less than 1300 Euro. This deduction applies if the child is sent to a child care centre which is registered with the respective government department.

Rebate on disability facilitators

Parents whose children suffering from a disability attend a private school and are assisted by a facilitator are provided with a rebate on the cost of the facilitator. At a national level, parents choosing to send their disabled children to private schools have to pay for the full salary of the facilitator who is assigned to assist their child, since the state does not provide such a service in private schools. A rebate of a maximum 9320 Euros is given to such circumstances. One is to note that in the majority of cases, persons whose children require the assistance of a facilitator at school, opt to send their children to state or church schools where such a service is provided free of charge.

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Additional exemptions are provided for income arising from any of the following:

- Disability pension
- Social assistance
- Marriage grants or benefits
- Children's allowance or disabled child allowance

10.1.1.1 Standard allowances

As explained in 10.1.1

10.1.1.2 Standard tax credits

As explained in 10.1.1

10.1.2 *Income tax schedule*

Income tax is worked out depending on whether a person would like to have a single rate computation, a married rate computation or a parent rate computation.

Single rate computation – these rates apply to all single persons and also to married persons who consider the single rate computations as more advantageous to their situation.

Married rate computation – couples who are married and living together may opt to have their income taxed using the married rates. Single parents may also opt to use these rates. In this regard, unmarried individuals, widowed or separated persons who maintain a child may compute their tax by applying the married tax rates instead of the single rates.

Parent rate computation – these rates may be used by persons who are parents irrespective of whether they are legally married or not. All parents supporting children (up to 18 years) who are not in employment will be eligible for this rate. If children are still in tertiary education, the age limit is extended to 21 years.

Below are tables showing rates for the three types of computation:

Single computation tax rates

Chargeable income	Tax rate	Subtract
0 -8,500	0	0.00
8,501 -14,500	0.15	1,275.00
14,501 -19,500	0.25	2,725.00
19,501 & over	0.35	4,675.00

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Married computation tax rates

Chargeable income	Tax rate	Subtract
0 -11,900	0	0.00
11,901 -21,200	0.15	1,785.00
21,201 -28,700	0.25	3,905.00
28,701 &over	0.35	6,775.00

Parent computation tax rates

Chargeable income	Tax rate	Subtract
0 -9,300	0	0.00
9,301 -15,800	0.15	1,395.00
15,801 -21,200	0.25	2,975.00
21,201 &over	0.35	5,095.00

Method of computation

When the person decides which rates to use, one must identify the wage bracket of his/her income, multiply the income by the identified tax rate and subtract the answer by the amount indicated in the 'Subtract' column. The final answer is the amount of tax which is due by the person.

10.1.3 State and local income taxes

10.2 Treatment of family income

Each person is considered individually for tax purposes unless the person is married and living together with his/her partner and opting for a married rate tax computation. There are no tax deductions or allowances for partners or spouses. At a national level, unmarried partners cannot avail themselves of the married tax computation rates. In addition unused portions of tax deductions or allowances are not transferable between partners or spouses.

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10.3 Social security contributions and payroll taxes

The national social security contribution is based on two classes, namely, Class One contribution which is payable in respect of employed persons and Class Two contribution which is paid in respect of self-employed persons. Contributions are payable by all persons between the age of 16 and 65 years or the age until the person decides to give up employment in terms of the Social Security Act (currently the retirement age is of 61 years for men and 60 for women).

No social security contributions are payable on earnings from overtime or earnings from income from a second job.

In the workings it is assumed that social security is to be worked out on the total AW (which includes all earnings), however in a local context, there are no social security contributions on earning related to overtime, bonuses and allowances. When estimating the amount of social security contributions from total employee earnings using the 2004 Labour Cost Survey, we have come up with an estimate of 10% on the approximate ratio for the basic earnings/total earnings.

Below is table showing earnings statistics from the 2008 Labour Cost Survey (survey is conducted every four years).

Earnings breakdown	€	% distribution of earnings
Basic wages and salaries	1,427,909,771	81.8
Of which Social Security Contributions	127,592,040	7.3
Overtime	104,440,411	6.0
Irregular bonuses	92,353,669	5.3
Regular bonuses	121,755,083	7.0
Total earnings	1,746,458,933	100.00

All information stated below relates to compulsory contributions. There are no compulsory private health insurance payments.

10.3.1 Contributions paid by employees

For the purpose of this section only Class One contributions are applicable.

Class One Contributions: - For every person who is considered to be in insurable employment, there are three different contributions which are to be paid: one by the employed person, one by his/ her employer and one by the State. Class one is made up of 6 categories:

Category A – Persons under 18 years of age earning not more than the amount provided in the table below

Category B – Persons aged 18 and over, earning not more than the amount provided in the table below

Category C - Persons born before 31st December 1961 – All persons whose basic weekly wage falls between the amounts indicated below

Category C - Persons born from 1st January 1962 onwards – All persons whose basic weekly wage falls between the amounts indicated below

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Category D - Persons born before 31st December 1961 – All persons whose basic weekly wage is equal to or exceeds the amounts indicated below

Category D - Persons born from 1st January 1962 onwards – All persons whose basic weekly wage is equal to or exceeds the amounts indicated below

Category E – Students under 18 years of age

Category F – Students 18 years and over

Social security contributions are calculated as per table below:

Category	Type of Employed Persons	Weekly Rate of Contribution Payable by Employed Person	Weekly Rate of Contribution Payable by the Employer
A	Persons under eighteen years of age (other than those falling under category 'E' below of this Part) whose basic weekly wage or the weekly equivalent of their basic monthly salary is between € 31.60 and € 158.11	€ 6.62	€ 6.62
B	Persons over eighteen years of age (other than those falling under category 'F' of this Part) whose basic weekly wage or the weekly equivalent of their basic monthly salary is between € 31.60 and € 158.11	€ 15.81, or if the employee chooses, 10% of the basic weekly wage.	€ 15.81
C - Persons born up to 31 st December 1961	Persons (other than those falling under Categories 'E' and 'F' of this Part) whose basic weekly wage or the weekly equivalent of their basic monthly salary is between € 158.12 and € 334.96	10% calculated to the nearest cent of their basic weekly wage or the weekly equivalent of their basic monthly salary	10% calculated to the nearest cent of their basic weekly wage or the weekly equivalent of their basic monthly salary
C - Persons born from 1 st January 1962 onwards	Persons (other than those falling under Categories 'E' and 'F' of this Part) whose basic weekly wage or the weekly equivalent of their basic monthly salary is between € 158.12 and € 378.50	10% calculated to the nearest cent of their basic weekly wage or the weekly equivalent of their basic monthly salary	10% calculated to the nearest cent of their basic weekly wage or the weekly equivalent of their basic monthly salary
D - Persons born up to 31 st December 1961	Persons (other than those falling under Categories 'E' and 'F' of this Part) whose basic weekly wage or the weekly equivalent of their basic monthly salary exceeds € 334.97	€ 33.50	€ 33.50
D - Persons born from 1 st January 1962 onwards	Persons (other than those falling under Categories 'E' and 'F' of this Part) whose basic weekly wage or the weekly equivalent of their basic monthly salary exceeds € 378.51	€ 37.85	€ 37.85
E	Persons under eighteen years of age who are	10% calculated to	10% calculated to

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	following a full-time course of studies or instruction under the Student-Worker Scheme, or other similar schemes (including the Extended Skills Training Schemes, but excluding the Worker-Student Schemes) involving distinct work and study periods for which they are receiving remuneration	the nearest cent of the basic weekly remuneration or the weekly equivalent of their basic monthly remuneration up to a maximum rate of contribution of € 4.38	the nearest cent of the basic weekly remuneration or the weekly equivalent of their basic monthly remuneration up to a maximum rate of contribution of € 4.38
F	Persons over eighteen years of age who are following a full-time course of studies or instruction under the Student-Worker Scheme, or other similar schemes (including the Extended Skills Training Schemes, but excluding the Worker-Student Schemes) involving distinct work and study periods for which they are receiving remuneration	10% calculated to the nearest cent of the basic weekly remuneration or the weekly equivalent of their basic monthly remuneration up to a maximum rate of contribution of € 7.94	10% calculated to the nearest cent of the basic weekly remuneration or the weekly equivalent of their basic monthly remuneration up to a maximum rate of contribution of € 7.94

10.3.2 Contributions paid by employers

Information on the contributions paid by employers for Class One is provided in section 10.3.1 above.

Class Two Contributions: - These contributions are payable by persons between the age of 16 and 65 who are occupied in a self-employed capacity. Persons, who are neither employed nor 'gainfully occupied' are also considered to fall under the Class two category of contributions. There are various rates of the Class Two contribution: the full (or highest rate) and a number of lower rates depending on the total net income of the self-employed person concerned. The table below illustrates the rates which were applicable for this category during 2009:

	Annual net income		Weekly rate
	From (Euros)	To (Euros)	(Euros)
SA	0	9,445	27.25
SB - Persons born up to 31 st December 1961	9,446	17,417	15 %
SB - Persons from 1 st January 1962 onwards	9,144	19,682	15 %
SC - Persons born up to 31 st December 1961	17,418	n/a	50.24
SC - - Persons from 1 st January 1962 onwards	19,683	n/a	56.78
SP*	1,005	7,985	23.03

*The SP rate applies only to single persons who are not self occupied.

Exemption from the payment of contributions for Class Two category: -

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The following categories of persons are statutorily exempt from the payment of a Class Two contribution: -

- a) Persons in receipt of full-time education or training (ie these persons are not carrying out any apprentice work as part of their studies).
- b) Non-gainfully occupied married persons.
- c) Persons in receipt of a pension in respect of widowhood, invalidity or retirement or persons in receipt of a Parent's Pension;
- d) Persons in receipt of non-contributory Social Assistance or a non-contributory pension.

10.3.3 *Payroll taxes*

Payroll taxes which are applied at a national level are identical to Income Taxes which are described in section 10.1 above. The payment of such taxes depends on the income which a person declares. For employed persons there is a distinction in the percentage of tax which is paid if a job is considered to be the main occupation or if it is considered to be a second job.

Main jobs are taxed using the rates highlighted in section 10.1 (either single or married tax rate computation depending on the case) whereas payment of tax on income derived from part time earnings second jobs is of 15 per cent (for employees).

10.4 *Treatment of particular group*

10.4.1 *Young persons*

10.4.2 *Older workers*

10.4.3 *Others if applicable*

Reference date for all information is **July 1st 2012**

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11. Part-time work

11.1 *Special benefit rules for part-time work*

Persons having a part-time job are entitled to social assistance and family benefits as long as they satisfy all the criteria highlighted for the various benefits indicated in sections 4, 5, 6 and 9 above. In addition persons with a part time work as a primary job are also entitled to employment-conditional benefits as described in section 8 above.

11.2 *Special tax and social security contribution rules for part-time work*

At a national level a distinction is made between part-time work as a main job and part-time work as a second job.

Persons having a part-time work as a main job have to pay social security contributions in line with the rates provided in section 10. For tax purposes income from part-time employment must be declared and payments made according to the details specified in section 10 above.

Persons having a part-time work as a second job do not have to pay any social security contributions since they would be already paying their share in their primary occupation. For tax purposes income from part-time employment must be declared. A flat rate of 15 per cent is paid in respect of income derived from part-time employment as a second job.

12. Policy developments

12.1 *Policy changes introduced: 2nd July 2011 – 1st July 2012*

- 1) Government introduced a new tax rate for parents. This is referred to in section 10 of the document. This tax rate can be used by persons who are parents irrespective of whether they are legally married or not. All parents supporting children (up to 18 years) who are not in employment will be eligible for this rate. If children are still in tertiary education, the age limit is extended to 21 years.
- 2) Pensioners working on a part-time basis with government shall be entitled to a tax rate of 15 per cent on their income. Before this measure was introduced, the income of these working pensioners was added to the income they were receiving from their pension and thus was being taxed at a higher rate.
- 3) Persons working with the public sector who perform a second job with the public sector itself were considered to be working with the same employer and thus for tax purposes their income was added to their main job income, thus implying that the tax rate was higher. From 2012, public servants who have a second job with the public sector (as long as it is a different and separate entity) shall benefit from the 15% tax rate on part-time work when it comes to income declaration in connection with the second job.
- 4) An increase in the children's allowance minimum rate by €100 to €350 per year per child.

12.2 *Future policy changes announced since 1st July 2012*

- 1) Changes to the maternity leave period have are planned to be introduced. In this regard government is proposing to increase this period from 14 to 16 weeks and an additional two weeks will also be added in 2013. The extra weeks will be paid from public finances at a fixed rate of €160 per week. More discussions are planned to take place during the course of 2013 in order to propose a way to implement which is of less negative impact as possible on the private sector.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD Revenue Statistics.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers, employees [...] either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.